

TABLE 12-8

Mature Retirees—Moderate Multi-Asset-Class Portfolio (open-end mutual funds or ETF version)

Asset Class	Percent	Sample Low-Cost Funds and Symbols
U.S. Equity		
Core U.S. equity	20%	Vanguard Total U.S. Stock Market Index (VTSMX) or Vanguard Total U.S. Stock Market ETF (VTI)
Small value	5%	Vanguard Small-Cap Value Index Fund (VISVX) or iShares S&P 600 Barra Value (IJS)
Real estate	5%	Vanguard REIT Index Fund (VGSIX) or Vanguard REIT ETF (VNQ)
International Equity		
Pacific Rim—large	4%	Vanguard Pacific Stock Index (VPACX) or Vanguard Pacific Stock ETF (VLP)
Europe—large	4%	Vanguard European Stock Index (VEURX) or Vanguard European Stock ETF (VGK)
Emerging markets	2%	DFA Emerging Markets* (DFEMX) or Vanguard Emerging Markets Stock ETF (VWO)
Fixed Income		
Investment-grade bonds	30%	Vanguard Total Bond Market Index Fund (VBMFX) or Vanguard Total Bond Market ETF (BND)
Short-term bonds	18%	Vanguard Investment Grade Short-term (VFSTX) or Vanguard Short-Term Bond ETF (BSV)
Inflation-protected bonds	10%	Vanguard Inflation-Protected Securities (VIPSX) or iShares Barclays TIPS Bond Fund (TIP)
Cash		
Cash equivalent	2%	Low-cost money market fund with checking

*DFA funds are only available through select financial advisors. Alternatives are available to all investors.

YOUR AGE IN BONDS: THE MODIFIED VERSION

A simple way to decide on a stock and bond allocation is to use a rule of thumb called “your age in bonds.” Age plays an important part in determining asset allocation. The consensus is that the older you get, the less risk you should take. This makes sense for two reasons: first, you have less time to make up losses, especially if you are in the distribution phase of